LENIOR, et al., v. PACIFIC GAS AND ELECTRIC COMPANY

22CV46442

DEMURRER TO PLAINTIFFS' FIRST AMENDED COMPLAINT

This case involves a dispute between utility customers and the utility company. At issue is a disputed unpaid bill in the amount of $126,691.66. Defendant considers the bill to be bona fide based on suspicious (and possibly illegal) use and/or tampering with meter equipment.

Before the Court is defendant's demurrer to the operative First Amended Complaint, which includes a challenge to each cause of action stated therein. A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. The challenge is limited to the "four corners" of the pleading (which includes exhibits attached and incorporated therein), or from matters outside the pleading which are judicially noticeable. The complaint is read as a whole. Material facts properly pleaded are assumed true, but contentions, deductions or conclusions of fact/law are not. In general, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (CCP §§425.10(a), 459; in accord, *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Gray v. Dignity Health* (2021) 70 Cal.App.5th 225, 236 n.10.)

Defendant's Request for Judicial Notice is GRANTED.

According to defendant, "adjudication of customer disputes regarding utility bills and termination of electric service are within the exclusive jurisdiction of the CPUC … This Court does not have subject matter jurisdiction to review, restrain, or interfere with the CPUC's regulation, authority, or supervision of billing disputes or termination of electric service." Defendants cite to Public Utility Code §1759(a), which provides as follows:

> "No court of this state, except the Supreme Court and the court of appeal, to the extent specified in this article, shall have jurisdiction to review, reverse, correct, or annul any order or decision of the commission or to suspend or delay the execution or operation thereof, or to enjoin, restrain, or interfere with the commission in the performance of its official duties, as provided by law and the rules of court."

There is an obvious overlap/conflict between §1759 and §2106 of the Public Utility Code. While §1759 was enacted to limit judicial review of CPUC actions, it was never intended to immunize or insulate a public utility from all civil actions brought in superior court. instead, courts are instructed to engage in a three-part test to determine if the alleged wrongdoing is embraced within the preemption, or subject to civil litigation. To find preemption, defendant must establish that all three of the following questions are to be answered, as a matter of law, in the affirmative:

> 1) Does the litigation involve a regulatory policy?
>
> 2) Did the CPUC have the authority to promulgate said policy?
>
> 3) Does a civil action hinder, frustrate or interfere with the exercise of that authority?

(See *San Diego Gas & Elec. Co. v. Superior Court* (1996) 13 Cal.4th 893, 902-903; *Uber Technologies Pricing Cases* (2020) 46 Cal.App.5th 963, 970-972; *PegaStaff v. Pacific Gas & Electric* (2015) 239 Cal.App.4th 1303, 1315-1316; *Wilson v. Southern California Edison Co.* (2015) 234 Cal.App.4th 123, 150; *Mata v. Pacific Gas & Electric Co.* (2014) 224 Cal.App.4th 309, 315*; Koponen v. Pacific Gas & Electric* (2008) 165 Cal.App.4th 345, 350-354; *Anchor Lighting v. Southern California Edison Co.* (2006) 142 Cal.App.4th 541, 550; *Cundiff v. GTE California Inc*. (2002) 101 Cal.App.4th 1395, 1405; *Schell v. Southern California Edison Company* (1988) 204 Cal.App.3d 1 039,1 046.)

Although the California Supreme Court has previously held that §1759 preempts §2106 only if the ensuing award of damages would "hinder or frustrate" CPUC's supervisory and regulatory policies, that line in the sand has been sometimes hard to see. Published opinions have been abundant on just what the Supreme Court's Covalt and Hartwell test (and usually the third element) means.

Here, plaintiffs' claims may appear in some respects to relate to the defendant's decision to investigate an alleged unauthorized use, and to terminate service thereon, but other aspects (namely slander, intentional infliction of emotional distress, and spoliation) do not. Simply put, it is one thing to investigate and decide, but quite another to defame and spoliate.

Nothing added in the First Amended Complaint's new allegations address the above-discussed "third question" to find CPUC preemption. By the First Amended Complaint's title alone, but also concerning the averments therein, it is clear to this Court that plaintiffs are complaining about how the defendant has implemented Electric Rule 17.2, a regulatory policy that defendant was required to promulgate.

This court in an earlier demurrer Ruling:

> "Thus, while the allegations will need to be refined, it does appear to this Court that plaintiffs may be able to restate the claim that defendant's failure to comply with its own existing policy regarding preservation of evidence and giving the customer an opportunity to review and challenge the evidence does not offend the CPUC's regulatory powers and is a

> ministerial duty this Court could enforce (even if doing so is without monetary damages)."

Despite this invitation, no such further information or facts was provided in the First Amended Complaint.

Concerning the slander and intentional infliction of emotional distress ("IIED") causes of action, the First Amended Complaint does state additional facts when read in combination, and provides more details on the defendant's allegedly slanderous conduct, the nature of the duty owed, and the general damages. However, they remain conclusory and lack facts relating to the nature of any exemplary damages or intentional acts. (See *Taliaferro v. Salyer* (1958) 162 Cal. App. 2d 685; *Lopez v. City of San Diego* (1987) 190 Cal. App. 3d 678.)

Plaintiffs must ensure any new allegations are consistent with prior verified pleadings or explain why facts previously alleged under oath are no longer applicable. Overall, the first amended complaint fails to rectify the deficiencies identified by this Court in the prior demurrer ruling.

Assuming plaintiffs can adequately plead a cause of action for defamation, this Court will permit a claim for IIED to stand if plaintiffs can also allege sufficient facts of emotional distress of substantial or enduring quality.

Demurrer SUSTAINED to all causes of action, WITH 30 days leave to amend.

The Clerk shall provide notice of this Ruling to the parties forthwith. The defendant is to prepare a formal order pursuant to Rule of Court 3.1312 in conformity with this Ruling.

SCHAAD v. GC ORGANICS, LLC

23CV46798

MOTION FOR ORDER FOR APPLICATION OF FRANCHISE TOWARD SATISFACTION OF MONEY JUDGMENT

Judgment creditor Schaad filed a complaint against judgment debtor GC Organics, LLC ("GC Organics") for breach of contract. On August 21, 2023, the period expired for GC Organics to file an answer to said complaint and default was entered as requested, with a default judgment in plaintiff's favor of $106,917.17, in damages and reasonable attorney's fees and expenses.

GC Organics was the holder of a right-to-apply for a commercial cannabis cultivation permit, a limited number of which have been issued and acknowledged by Calaveras County. (See Calaveras County Code of Ordinances, tit. 17, art. 2, ch. 17.95.) Plaintiff argues that the right-to-apply is a government "franchise" that has substantial value and is transferable (i.e., saleable). In this matter, plaintiff sold GC Organics the subject right-to-apply before the present dispute.

As the judgment creditor, plaintiff now moves the court for an order applying this Right-to-Apply toward the satisfaction of the judgment under Code of Civil Procedure section 708.920.

An opposition to the motion has been filed by the County of Calaveras ("County"), arguing in sum that there is no franchise as argued by Schaad.

A "right to apply" is not a grant of rights or privileges by a public entity. There is no program through which the County issues something called a "right to apply" for a cannabis cultivation permit. The County issues commercial cannabis activity permits to qualified applicants under its cannabis regulatory program as described in Chapter 17.95. Only a person with a 'commercial cannabis cultivation permit' (one of several types of commercial cannabis activity permits) can legally farm cannabis commercially in Calaveras County. Those who have a "right to apply," as that term is described in County Code §17.95.050(D)(14), are not entitled to receive a cannabis cultivation permit or to otherwise cultivate cannabis in Calaveras County. They are entitled only to further review of their permit application.

The County goes on to differentiate a "right to apply," a "franchise," "successor-in-interest certification," and "a commercial cannabis cultivation permit."